BUSINESS ENVIRONMENT

Subject Code: 23A52402c

UNIT - II

Fiscal & Monetary Policy

Syllabus Topics Covered

- Fiscal policy: nature, meaning, significance, functions, advantages
- Public revenues and public expenditure
- Evaluation of recent fiscal policy of GOI; highlights of Budget
- Monetary policy; demand and supply of money; RBI
- Objectives of monetary and credit policy; recent trends
- Role of the Finance Commission

Tip: learn the red underlined keywords, tables and diagrams. The last page has important questions and a revision sheet.

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1. Fiscal Policy - Meaning and Nature

1.1 Meaning

Fiscal policy is the policy of the government regarding **public revenue (taxation, borrowing), public expenditure and public debt**, used to achieve economic goals like growth, employment, price stability and equity. The word "fiscus" means the **state treasury**.

> **Definition - Arthur Smithies**
>
> Fiscal policy is a policy under which the government uses its expenditure and revenue programmes to produce desirable effects and avoid undesirable effects on national income, production and employment.
>
> [Simple words] Fiscal policy = how the government earns (taxes, borrowing) and how it spends (subsidies, salaries, infrastructure) to steer the economy.

1.2 Who makes it?

- Made by the **Ministry of Finance** (Department of Economic Affairs and Department of Revenue)
- Announced every year through the **Union Budget** (Article 112 of the Constitution - Annual Financial Statement)
- Approved by **Parliament**

1.3 Nature of fiscal policy

» **Government policy:** it is decided only by the government, not by the central bank.

» **Uses budget tools:** taxes, public spending, public debt, subsidies.

» **Short and long term:** it is used for yearly stabilisation and for long term development.

» **Counter-cyclical:** the government spends more in recession and saves in boom.

» **Flexible:** can be changed at any time to meet new needs.

» **Quantity of money is affected indirectly:** deficit spending increases money in the economy.

» **Part of the economic planning** and of reform programmes.

1.4 Types of fiscal policy

Type	When used	Action
Expansionary	Recession, unemployment	More spending, less tax → demand rises
Contractionary	Inflation, boom	Less spending, more tax → demand falls
Neutral	Balanced economy	Budget balanced, spending equals tax revenue



2. Significance and Functions

2.1 Significance

- **Resource mobilisation:** taxes and borrowing collect funds for development.
- **Economic growth:** public investment in roads, ports, power and digital infrastructure.
- **Price stability:** controls inflation or deflation by adjusting demand.
- **Employment generation:** public works like MGNREGA, capital projects.
- **Reducing inequality:** progressive income tax and welfare schemes shift income from rich to poor.
- **Balanced regional development:** grants and transfers to backward states.
- **Capital formation:** tax incentives to savings and investment.
- **Encouraging exports and industry:** export incentives, PLI schemes, customs duty changes.

2.2 Functions

- **Allocation function:** providing public goods like defence, roads, law and order which the market does not supply
- **Distribution function:** making income distribution fair through taxes and transfers
- **Stabilisation function:** keeping the economy steady - controlling inflation and unemployment
- **Growth function:** raising savings, investment and production
- **Regulation function:** using taxes and subsidies to discourage harmful goods (tobacco duty) and promote useful ones (green energy)

2.3 Objectives of Indian fiscal policy



2.4 Advantages of fiscal policy

- Gives the government **direct control** over spending and taxes
- Can be targeted to **specific sectors or groups** (farmers, MSMEs)
- Supports **infrastructure** that private sector will not build
- Quick effect on demand in a recession (e.g. stimulus packages in 2020)
- Helps **reduce poverty and inequality**
- Supports **long term development goals** (Viksit Bharat 2047)

3. Public Revenue

3.1 Meaning

Public revenue is the **income of the government** from all sources to meet its expenditure. In the Union Budget it is divided into **revenue receipts** and **capital receipts**.

Government Receipts → Revenue receipts → Capital receipts

3.2 Revenue receipts (do not create liability, do not reduce assets)

Tax revenue

Direct taxes: income tax, corporation tax. Indirect taxes: GST, customs duty, excise on petrol and liquor, etc.

[Non-tax revenue] Interest receipts, dividends and profits from PSUs and RBI, fees, fines, spectrum auction, grants, external aid.

3.3 Capital receipts (create liability or reduce assets)

- **Recovery of loans** given to states and others
- **Borrowings:** market loans, treasury bills, external loans
- **Other receipts:** disinvestment (sale of PSU shares), small savings, provident fund

3.4 Direct vs Indirect taxes

Basis	Direct tax	Indirect tax
Burden	Falls on the person who pays	Can be shifted to consumers
Examples	Income tax, corporate tax	GST, customs duty
Nature	Progressive	Regressive (same rate for all)
Evasion	Easier to evade	Difficult to evade
Impact	Reduces inequality	Raises prices

3.5 Canons of taxation (Adam Smith)

- **Equality:** pay according to ability
- **Certainty:** time, amount and manner of payment must be clear
- **Convenience:** collected in a convenient way and time
- **Economy:** low cost of collection

3.6 GST (Goods and Services Tax) - key points

- Launched on 1 July 2017 ; "One nation, one tax, one market"
- Dual model: CGST + SGST (within a state), IGST (between states)
- GST Council (chair: Union Finance Minister) decides rates
- Rate slabs were simplified in September 2025 into mainly 5% and 18% , with a special 40% rate on sin and luxury goods
- Monthly collections have crossed Rs 2 lakh crore in several months

4. Public Expenditure

4.1 Meaning

Public expenditure is the spending by the government on its own maintenance, on development and on welfare. In Budget it is divided into revenue expenditure and capital expenditure .

4.2 Types

Revenue expenditure

Does not create assets or reduce liabilities. Examples: salaries, pensions, interest payments, subsidies, defence revenue spending, grants to states.

[Capital expenditure] Creates assets or reduces liabilities. Examples: roads, railways, ports, defence equipment, loans to states, repayment of debt.

Classification	Types
Plan / Non-plan (old)	Replaced since 2017 by capital and revenue
Developmental / Non-developmental	Education, health vs defence, interest
Productive / Unproductive	Creates income or not
Central / State	By level of government

4.3 Principle of maximum social advantage (Dalton)

Public expenditure should be carried on up to the point where the marginal social benefit equals the marginal social sacrifice from taxation.

4.4 Causes for growth of public expenditure

- Defence and security needs
- Population growth and urbanisation
- Welfare schemes and subsidies (food, fertiliser, LPG)
- Infrastructure and development needs
- Rising interest payments on past debt
- Inflation, which raises the cost of everything

4.6 Public debt and deficits

Deficit	Formula	Meaning
Revenue deficit	Revenue expenditure - Revenue receipts	Government cannot meet day to day cost from its income
Fiscal deficit	Total expenditure - (Revenue + non-debt capital receipts)	Total borrowing needed in the year
Primary deficit	Fiscal deficit - Interest payments	Borrowing for current needs, apart from past interest

FRBM Act 2003

Fiscal Responsibility and Budget Management Act aims at fiscal discipline - reducing fiscal deficit, revenue deficit and debt. After 2025-26 the government follows a **debt-to-GDP target** (about 50 percent plus or minus 1 by 2030-31) with fiscal deficit glide path.

5. Evaluation of Recent Fiscal Policy of GOI

5.1 Direction of fiscal policy since 2020

COVID stimulus (2020-21) → Capex-led growth (2021-24) → Fiscal consolidation (2024-27)

- **2020-21:** fiscal deficit rose to about 9.2 percent of GDP because of the pandemic, with Atmanirbhar Bharat packages
- **2021-24:** government raised **capital expenditure** sharply (roads, railways, ports) to crowd in private investment
- **2024-27:** a **glide path** to lower the fiscal deficit: **4.8% (2024-25) → 4.4% (2025-26) → 4.3% (2026-27 BE)**

5.2 Achievements (positive evaluation)

» Fiscal deficit **reduced steadily** from the pandemic peak and kept near targets

» **Quality of spending improved:** capex raised from about Rs 4.3 lakh crore (2020-21) to **Rs 12.2 lakh crore (2026-27 BE)**

» **Tax base widened** through GST, digital filing, faceless assessment

» Strong GST and direct tax collections; higher RBI dividend

» **Simplified taxation:** New Income Tax Act, 2025 effective from April 2026; GST slabs simplified in 2025

» Targeted welfare through **DBT (Direct Benefit Transfer)**, reducing leakages

» Boost to manufacturing with **PLI schemes**, Make in India

5.3 Concerns (negative evaluation)

- **Interest payments** take a large share (roughly 20 percent plus) of expenditure, so little room is left
- **Debt-to-GDP** of the Centre is still high, around 56 percent
- **Subsidy burden** (food, fertiliser, LPG) is rigid
- **Low tax-GDP ratio** compared with other emerging economies
- **Private investment** has not risen as fast as public investment
- **Off-budget borrowings** and state level deficits create fiscal risk
- **Job creation** is slower than the number of people joining the workforce

Overall verdict

The recent fiscal policy is **prudent and growth-oriented**: it protects capex, consolidates the deficit and targets welfare. The challenge is to raise revenue, cut interest cost and attract private investment.

6. Highlights of Union Budget 2026-27

(presented by Finance Minister Smt. Nirmala Sitharaman on 1 February 2026 - her eighth consecutive Budget)

6.1 Key numbers

Item	Budget 2026-27 (BE)
Fiscal deficit	4.3% of GDP (4.4% in 2025-26 RE)
Total expenditure	about Rs 53.47 lakh crore
Revenue expenditure	about Rs 41.25 lakh crore
Capital expenditure	about Rs 12.22 lakh crore (3.1% of GDP)
Defence allocation	about Rs 5.95 lakh crore
Fertiliser subsidy	about Rs 1.71 lakh crore

6.2 Main themes and announcements

» **Capex-led growth:** record public capital expenditure continued for infrastructure

» **Fiscal prudence:** consolidation maintained; debt reduction path under the new framework

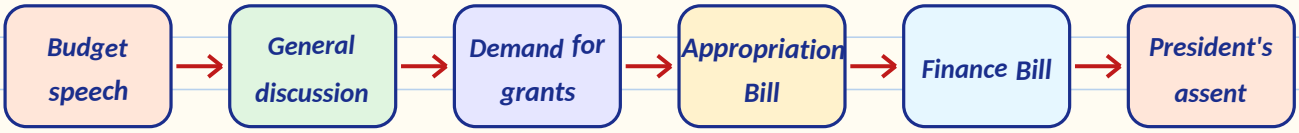
» **No change** in personal income tax slabs; the earlier relief (no tax up to Rs 12 lakh income under the new regime, Budget 2025) continues

» **Compliance simplification:** ITR filing, TDS and NRI related rules made simpler; new Income Tax Act 2025 comes into force from 1 April 2026

- **Manufacturing and technology:** support to semiconductors (ISM 2.0), biopharma, electronics, data centres (tax holiday)
- **MSME support:** MSME 'champions' scheme, credit support and easier compliance
- **Higher STT** (Securities Transaction Tax) on derivatives
- **Transfers to States:** Finance Commission grants and tax devolution (16th Finance Commission period begins 2026-27)

6.3 Budget at a glance (important terms)

- **Budget:** annual financial statement under Article 112
- **Revenue Budget and Capital Budget** - two parts of the budget
- **Finance Bill** gives effect to tax proposals; **Appropriation Bill** allows spending
- **Consolidated Fund, Contingency Fund, Public Account** of India



7. Money - Demand and Supply of Money

7.1 Meaning of money

Money is anything that is **generally accepted** as a medium of exchange, a unit of account, a store of value and a standard of deferred payment.

7.2 Demand for money

Demand for money means the desire of people to **hold wealth in the form of cash** (liquid form).

Keynes' **Liquidity Preference Theory** gives three motives:

- **Transaction motive:** to buy day to day goods; depends on income
- **Precautionary motive:** to meet emergencies (illness, job loss)
- **Speculative motive:** to take advantage of changes in bond prices and interest rate; depends on interest rate (high interest → low money demand)

Fisher's Quantity Theory

$MV = PT$, where M = money supply, V = velocity of circulation, P = price level, T = volume of transactions. If M rises while V and T are constant, then P rises (inflation).

7.3 Supply of money

Money supply is the **total stock of money** held by the public at a particular time. RBI measures it by four measures:

Measure	Components
M1 (narrow money)	Currency with public + demand deposits with banks + other deposits with RBI
M2	M1 + savings deposits with post office savings banks
M3 (broad money)	M1 + time deposits with banks (main measure now)
M4	M3 + all deposits with post office (excluding NSC)

Equilibrium

The rate of interest is determined where **demand for money = supply of money**. RBI controls supply; public decides demand.

7.4 High powered money (reserve money)

Reserve money = Currency in circulation + Banker's deposits with RBI + other deposits with RBI. It is called high powered because it creates a **multiple expansion of credit** by banks (**money multiplier = 1 / reserve ratio**).

8. Reserve Bank of India (RBI)

8.1 About RBI

- Established on **1 April 1935** under the RBI Act, 1934; nationalised on **1 January 1949**
- Headquarters: **Mumbai** ; Governor: **Sanjay Malhotra** (since December 2024)
- It is the **central bank** of India and the regulator of the monetary and banking system

8.2 Functions of RBI

» **Monopoly of note issue:** issues currency notes (except one rupee note and coins, issued by the Ministry of Finance)

» **Banker to the Government:** manages accounts, public debt, gives ways and means advances

» **Banker's bank:** keeps reserves (CRR) of commercial banks; **lender of last resort**

» **Controller of credit:** quantitative and qualitative tools

» **Custodian of foreign exchange reserves** and manager under FEMA

» **Regulator and supervisor of banks and NBFCs**

» **Developmental functions:** financial inclusion, NABARD, payment systems (UPI, NPCI)

» **Monetary Policy Committee (MPC):** six members (3 from RBI, 3 external); sets the repo rate with the target of **4% CPI inflation (+/- 2%)**

9. Monetary Policy

9.1 Meaning

Monetary policy is the policy of the **central bank (RBI)** to control the **supply of money, availability and cost of credit** in the economy, in order to achieve economic goals like price stability and growth.

Definition - Paul Einzig

Monetary policy includes all monetary decisions and measures irrespective of whether they aim at monetary or non-monetary objectives.

[Statutory basis] RBI Act 1934, as amended in 2016, established the **Monetary Policy Committee (MPC)** and a flexible inflation targeting framework.

9.3 Objectives of monetary and credit policy

- **Price stability:** keep CPI inflation at 4 percent (band 2 to 6 percent)
- **Economic growth:** ensure enough credit for productive sectors
- **Full employment:** low interest rates encourage investment and jobs
- **Exchange rate stability:** managing the rupee value through forex intervention
- **Financial stability:** healthy banks, control of NPAs
- **Financial inclusion:** Jan Dhan, UPI, priority sector lending
- **Balanced growth** of credit among agriculture, industry and services



9.4 Instruments of monetary policy

Quantitative (general) tools

They control the total volume of credit.

- **Bank Rate:** rate at which RBI lends long term to banks (currently 5.75%)
- **Repo Rate:** rate at which RBI lends short term to banks against securities (**5.50%** after the October 2026 decision)
- **Reverse Repo / SDF:** rate at which RBI absorbs liquidity (Standing Deposit Facility, **5.25%**)
- **MSF (Marginal Standing Facility):** emergency overnight borrowing by banks (**5.75%**)
- **CRR (Cash Reserve Ratio):** share of deposits kept with RBI in cash
- **SLR (Statutory Liquidity Ratio):** share of deposits kept in safe assets like gold and government securities

- **Open Market Operations (OMO):** RBI buys or sells government securities to inject or absorb money
- **Variable Rate Repo / Reverse Repo auctions** for daily liquidity management

Qualitative (selective) tools

They control the direction and use of credit.

- **Margin requirements** on loans against securities
- **Credit rationing** and **moral suasion** (persuasion to banks)
- **Direct action** (penalty) and **selective credit control**
- **Priority sector lending** targets (agriculture, MSME, housing)

9.5 How it works

Situation	RBI action	Effect
Inflation high	Raise repo, CRR; sell securities	Loans costly, money supply falls, prices ease
Recession	Cut repo, CRR; buy securities	Loans cheap, investment and demand rise

10. Credit Policy and Transmission

10.1 Credit policy

Credit policy means the policy regarding **availability, cost and distribution of bank credit**. Earlier RBI announced a separate "Credit Policy"; now both are included in the **Monetary Policy Statement** issued every two months (six times a year).

10.2 Transmission mechanism



- Since **October 2019** loans are linked to an **external benchmark** (repo rate), so changes pass on quickly to home and auto loan borrowers
- The **MCLR** was used earlier

10.3 Fiscal policy vs Monetary policy

Basis	Fiscal policy	Monetary policy
Made by	Government (Ministry of Finance)	Central bank (RBI, MPC)
Tools	Taxes, spending, debt	Repo, CRR, SLR, OMO
Focus	Growth, equity, public finance	Money, credit, inflation
Speed	Slow (needs Parliament)	Fast (MPC meets 6 times a year)

Affects	Sectors and income groups	Entire economy, interest rate
Time frame	Annual budget	Bi-monthly review

Coordination

Both must work together. For example, if the government borrows heavily (large deficit) the RBI must manage liquidity so that interest rates do not rise sharply.

11. Recent Trends in Monetary Policy

11.1 Timeline

Period	Development
2020-21	Repo cut to 4%, big liquidity support during COVID
May 2022 - Feb 2023	Repo raised from 4% to 6.5% to fight inflation
Feb 2023 - Feb 2025	Repo kept at 6.5% for nearly two years
Feb 2025 - Dec 2025	Easing: repo cut step by step to 5.25% (CRR also reduced)
Aug 2026	Repo unchanged at 5.25%, stance neutral
7 Oct 2026	Repo **raised by 25 bps to 5.50%** ; stance changed to **calibrated tightening**

11.2 October 2026 policy highlights

- MPC voted **unanimously** for the hike; first hike in almost three years
- **SDF 5.25%, MSF and Bank Rate 5.75%**
- GDP growth forecast for 2026-27: **7.1%** ; CPI inflation forecast: **5.2%**
- Next MPC meeting: **2 to 4 December 2026**
- Reason: inflation risks, global tightening (the US Fed has also raised rates) and pressure on the rupee

Note for exams

Policy rates change often. Write the latest figures with the date, for example "repo rate was raised to 5.50% on 7 October 2026". Check RBI website before the exam.

12. Role of the Finance Commission

12.1 Meaning

The Finance Commission is a **constitutional body** (Article 280) appointed by the **President** **every five years** to recommend how tax revenue should be shared between the **Centre** **and** **States** and among the states. It addresses **vertical** **and** **horizontal** **imbalances** of federal finance.

12.2 Composition

- A **chairman** **and** **four** **other** **members**
- Qualifications are decided by Parliament
- The first Finance Commission was formed in **1951** (K.C. Neogy)
- The **16th** **Finance** **Commission** is chaired by **Dr** **Arvind** **Panagariya**; it covers the period **2026-27** **to** **2030-31**

12.3 Functions (Article 280)

» **Distribution** **of** **net** **proceeds** **of** **taxes** between the Union and States (vertical) and among the States (horizontal)

» **Grants-in-aid** to states from the Consolidated Fund of India (Article 275)

» **Measures** **to** **augment** **the** **Consolidated** **Fund** **of** **a** **state** so as to supplement resources of Panchayats and Municipalities (on the basis of State Finance Commission)

» Any other matter referred by the President in the interest of sound finance

12.4 Principles used for sharing among states

Criterion	Meaning
Population and demographic performance	Population as a base
Income distance	States with low income get more
Area and forest cover	Larger area, more forest, more weight
Fiscal discipline and tax effort	Reward for good management

12.5 Recent: 15th and 16th Finance Commission

- **15th** **FC** **(2021-26):** gave states **41** **percent** of the divisible pool and special grants for health, disaster and local bodies
- **16th** **FC** **(2026-31):** recommendations are in force from 2026-27; Budget 2026-27 included about Rs 1.4 lakh crore of Finance Commission grants to local bodies and states

Note

Finance Commission is a recommendatory body; the Government accepts and implements its report through an **Explanatory Memorandum** laid before Parliament. It is different from **NITI Aayog** (policy think tank) and from **State Finance Commissions** (Article 243I).

13. Important Questions and Quick Revision

Short answer (5 marks)

- Define fiscal policy. Explain its nature and functions.
- Distinguish between direct and indirect taxes.
- Explain revenue deficit, fiscal deficit and primary deficit.
- Explain the objectives of monetary policy.
- Write a note on the role of RBI.

Long answer (10 marks)

- Explain public revenue and public expenditure with classification.
- Evaluate the recent fiscal policy of the Government of India and highlight the latest Budget.
- Explain the quantitative and qualitative tools of credit control used by RBI.
- Compare fiscal policy and monetary policy. How do they work together?
- Explain the role of the Finance Commission in Indian federalism.

Quick revision sheet

Topic	Remember
Fiscal policy	Taxes, spending, borrowing; made by government
Monetary policy	Money and credit; made by RBI MPC
Deficits	Revenue, Fiscal, Primary
Budget 2026-27	FD 4.3%, capex Rs 12.22 lakh crore
Repo rate	5.50% (7 Oct 2026), stance calibrated tightening
Finance Commission	Article 280, every 5 years; 16th FC chair Panagariya